

SAMPLE HOLDINGS LIMITED

(Incorporated in the Cayman Islands with limited liability)

Stock Code: 09999

ANNUAL REPORT 2024

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MANAGEMENT DISCUSSION AND ANALYSIS

Business Review

During the year, the Group recorded revenue of HK\$1,284,500,000, representing an increase of 12.4% over the prior year. The gross profit margin was 38.5% (2023: 36.2%), driven by an improved product mix.

The Company holds a 51% equity interest in Sample Technology Limited, which remains its principal operating subsidiary.

Research and Development

Research and development expenditure for the year amounted to HK\$96,340,000 (2023: HK\$78,110,000), representing 7.5% of revenue. Capitalised development costs of HK\$22,400,000 were recognised as intangible assets during the year.

ENVIRONMENTAL, SOCIAL AND GOVERNANCE REPORT

Emissions

Scope 1 greenhouse gas emissions	12,480 tCO ₂ e
Scope 2 greenhouse gas emissions	34,910 tCO ₂ e
Total GHG emissions	47,390 tCO ₂ e
Emission intensity	0.037 tCO ₂ e per HK\$'000 revenue

Energy

Total energy consumption 68,220 MWh

Renewable energy accounted for 18.0% of total consumption.

The Group targets a 25% reduction in carbon intensity by 2030.

CONSOLIDATED STATEMENT OF PROFIT OR LOSS

For the year ended 31 December 2024

	Notes	2024	2023
		HK\$'000	HK\$'000
Revenue	5	1,284,500	1,142,800
Cost of sales		(789,967)	(729,105)
Gross profit		494,533	413,695
Other income	6	18,220	15,940
Selling and distribution expenses		(142,880)	(128,400)
Administrative expenses		(188,450)	(171,220)
Research and development expenses	7	(96,340)	(78,110)
Operating profit		85,183	51,905
Finance costs	8	(18,940)	(21,330)
Profit before tax		66,243	30,575
Income tax expense	9	(14,120)	(6,880)
Profit for the year		52,123	23,695
Depreciation		64,210	58,940
Amortisation		19,880	16,220

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

As at 31 December 2024

	Notes	2024	2023
		HK\$'000	HK\$'000
Non-current assets			
Property, plant and equipment	12	618,440	591,220
Investment properties	13	284,000	262,000
Goodwill	14	196,750	196,750
Intangible assets	15	142,880	131,400
Total non-current assets		1,242,070	1,181,370
Current assets			
Inventories	16	218,340	241,880
Trade and other receivables	17	312,660	288,420
Cash and cash equivalents	18	184,920	142,310
Total current assets		715,920	672,610
Total assets		1,957,990	1,853,980
Current liabilities			
Trade and other payables	19	248,110	262,440
Bank borrowings	20	196,000	224,000
Total current liabilities		444,110	486,440
Total liabilities		812,660	889,220
Total equity		1,145,330	964,760

CONSOLIDATED STATEMENT OF CASH FLOWS

For the year ended 31 December 2024

	2024	2023
	HK\$'000	HK\$'000
Net cash generated from operating activities	168,420	121,880
Purchase of property, plant and equipment	(91,340)	(84,220)
Net cash used in investing activities	(113,760)	(102,540)
Net cash used in financing activities	(12,050)	(34,610)
Net increase in cash and cash equivalents	42,610	(15,270)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

14. GOODWILL

Goodwill acquired through business combinations has been allocated to two cash-generating units (CGUs) for impairment testing.

The recoverable amount of each CGU has been determined based on a value in use calculation using cash flow projections covering a five-year period approved by management.

The pre-tax discount rate applied to the cash flow projections of the Manufacturing CGU is 13.2% (2023: 12.8%). For the Technology CGU, a pre-tax discount rate of 15.5% was applied.

Cash flows beyond the five-year period are extrapolated using a terminal growth rate of 2.5%, which does not exceed the long-term average growth rate of the industry in which each CGU operates.

The weighted average cost of capital used in the assessment was 11.8%.

Management determined that a reasonably possible change in the discount rate of 100 basis points would not result in an impairment loss.

15. INTANGIBLE ASSETS

	Customer Relationships	Development Costs	Trademarks
	HK\$'000	HK\$'000	HK\$'000
Cost at 1 January	84,200	112,600	41,500
Additions	-	22,400	-
Cost at 31 December	84,200	135,000	41,500

The useful lives of intangible assets are as follows:

Customer relationships 10 years, amortised on a straight-line basis

Development costs 5 years

Trademarks Indefinite useful life

Trademarks with indefinite useful life are tested for impairment annually. The recoverable amount was determined using the relief-from-royalty method with a discount rate of 14.0% and a notional royalty rate of 3.0% of revenue.

13. INVESTMENT PROPERTIES

The Group's investment properties were revalued at 31 December 2024 by an independent professional valuer, on the basis of fair value.

The valuation was arrived at using the income capitalisation approach, adopting a capitalisation rate of 3.8% (2023: 4.0%) for the retail portion and a capitalisation rate of 4.5% for the office portion.

The fair value measurement is categorised within Level 3 of the fair value hierarchy. Significant unobservable inputs include the market rent of HK\$52 per square foot per month and the capitalisation rate.

The total gross floor area of the investment properties is 128,400 square feet.

28. SHARE-BASED PAYMENT

The fair value of share options granted during the year was determined using the binomial model, with the following key inputs:

Expected volatility of 42.0%

Risk-free rate of 3.6%

Expected dividend yield of 1.8%

Expected option life of 6 years

30. RELATED PARTY TRANSACTIONS

During the year the Group entered into connected transactions with a company controlled by a director amounting to HK\$8,420,000.